

Private Company Advantage

Renewal Application

Underwritten by The Hanover Insurance Company

NOTICE: THIS APPLICATION IS FOR A CLAIMS-MADE POLICY. SUBJECT TO ITS TERMS, THIS POLICY WILL APPLY ONLY TO CLAIMS FIRST MADE AGAINST THE INSURED DURING THE POLICY PERIOD OR ANY APPLICABLE EXTENDED REPORTING PERIOD.

Whenever used in this Application, the bolded terms Named Insured, Executives and Claim shall have the meaning set forth in the policy and the term "Applicant" shall mean the **Named Insured** and all subsidiaries or other organizations applying for coverage.

I. NAME AND ADDRESS

Name of Applicant: Canopy Roofing, LLC dba: Lyon's Roofing

Address of Applicant: 878 West Illini Street

City: Phoenix

State: AZ

Zip Code: 85041

Website(s): www.lyonsroofing.com

Name primary contact for insurance notices and check the box if you consent to The Hanover Insurance Company emailing you and your agent regarding periodic loss prevention and renewal information:

Name	Title	Email	Email list
Bobby Zandt	Chief of Staff	bobby@forever6.com	☐

II. REQUESTED COVERAGE

Complete the chart below regarding requested coverage.

Requested Coverage Part		Requested Limits	New Coverage not currently purchased
☒	Directors & Officers and Entity Liability	\$ 1,000,000	☐
☒	Employment Practices Liability ("EPL")	\$ 1,000,000	☐
☒	Fiduciary Liability	\$ 1,000,000	☐
☐	Crime Coverage	\$	☐
☐	Kidnap & Ransom Coverage ("K&R")	\$	☐

1. Has the Applicant polled all **Executives** for any actual or potential litigation or **Claims**?

☒ Yes ☐ No

If any actual or potential **Claims**, have you reported such matters to the Insurer?

☐ Yes ☐ No ☐ N/A

2. If requesting higher liability limits than expiring or new coverage, please answer the following:

a. Is any **Executive** aware of any fact, circumstance, or situation that might reasonably be expected to result in a **Claim** that would fall within the scope of the requested **Liability Coverage Parts**?

☐ Yes ☐ No ☐ N/A

b. Solely for any new coverage that has not been purchased before, has the Applicant had any prior litigation, investigation, criminal or administrative proceedings or Crime or K&R losses that would have resulted in a **Claim** that would fall within the scope of the requested **Non-Liability Coverage Parts** or **Liability Coverage Parts** in the past 5 years?

☐ Yes ☐ No ☐ N/A

If Yes to any part of question 2. attach an explanation.

III. GENERAL & FINANCIAL INFORMATION

1. Description of Applicant's Operations, NAIC code(s): Full service roofing, re-roof, service and maintenance in Phoenix 238160
2. In the next 12 months (or during the past 18 months) is the Applicant contemplating (or has the Applicant completed or been in the process of completing):
- a. Any newly created locations, entities, merger, acquisition, or divestment? ☐ Yes ☒ No
- b. Any bankruptcy, reorganization or arrangement with creditors under federal or state law? ☐ Yes ☒ No
- c. Any branch, location, facility or subsidiary closings, consolidations, reductions in force or layoffs? ☐ Yes ☒ No
- If Yes to any part of question 2. attach an explanation.*

3. Complete the chart if requesting EPL, Crime or K&R coverage.

Number of Locations Current Year	Number of Locations Previous Year	Number of Total Employees Current Year	Number of Total Employees Previous Year
2	2	85	92

4. If requesting EPL coverage, complete the chart regarding the Applicant's number of employees by zip code.

Zip Code	State / Non-U.S. Country	Number of Employees

5. Complete the financial chart for the most recent fiscal year: _____ Month _____ Year,
or check box if attaching most recent year-end financial statements instead: ☒

Financial Data	Current Year	Previous Year
Total Revenue:	\$	\$
Total Assets:	\$	\$
Current Assets:	\$	\$
Current Liabilities:	\$	\$
Long Term Debt:	\$	\$
Retained Earnings (Accumulated Deficit):	\$	\$
Total Shareholders' Equity:	\$	\$
Interest Expense:	\$	\$
Operating Income Before Interest and Taxes:	\$	\$
Net Income (Net Loss):	\$	\$
Cash Flow from Operating Activities:	\$	\$

6. With respect to any financial audit or debt covenants:

- a. Has an auditor issued a "going concern" opinion for the Applicant's financial statements in the past 12 months? ☐ Yes ☒ No ☐ N/A
- b. Has the Applicant been out of compliance with any debt covenants in the past 12 months? ☐ Yes ☒ No ☐ N/A
- c. Has the Applicant changed auditors in the last 12 months? ☐ Yes ☒ No ☐ N/A
- d. Has an outside auditor stated there are any material weaknesses in the Applicant's system of internal controls? ☐ Yes ☒ No ☐ N/A
- e. Has the Applicant not implemented all material recommendations of the auditor? ☐ Yes ☐ No ☒ N/A

If Yes, to any question a. through e., attach an explanation.

IV. DIRECTORS & OFFICERS AND ENTITY LIABILITY INFORMATION

1. Within the past 12 months, has there been any change (resignations, terminations, departures, retirements, etc.) involving any Directors, Officers or other senior management? ☒ Yes ☐ No
If Yes, attach name of individual(s); date of change; and reason. Kevin Thomson no longer employed with Lyons Roofing, LLC.
Bryan Cary new President at Lyons Roofing, LLC
2. In the next 12 months (or during the past 18 months) is the Applicant contemplating (or has the Applicant completed or been in the process of completing):
- a. Any public or private offering of securities (including crowd funding/crowd financing)? ☐ Yes ☒ No
- b. Any change in ownership greater than 10%? ☐ Yes ☒ No
- If Yes to any part of question 2. attach an explanation.*

V. EMPLOYMENT PRACTICES LIABILITY INFORMATION

1. Complete the chart regarding the Applicant's employees:

Number of Employees	Current Year	Previous Year
Full Time (not including independent contractors):	85	80
Part Time (include leased, temporary and seasonal):	0	2
Independent Contractors:	1	1
Located in California:	0	0
Voluntary Terminations:	12	15
Involuntary Terminations (not layoffs/downsizing):	5	3
Layoffs/Downsizing:	0	0

2. In the past 12 months, has the Applicant updated its employee handbook or human resources policies and procedures? *If Yes, attach a description of changes.* ☐ Yes ☒ No ☐ N/A
3. Prior to employee terminations does the Applicant consult with human resources or outside counsel per a written HR policy? ☒ Yes ☐ No
4. Does the Applicant use written Performance Improvement Plans prior to a termination? ☒ Yes ☐ No
5. In the past 12 months, has the Applicant reviewed employee classification and documentation of exempt, nonexempt, and independent contractors?
If yes, and more than 25 employees were involved, was the review done with outside counsel? ☒ Yes ☐ No
☐ Yes ☒ No ☐ N/A
6. Does the Applicant conduct documented anti-discrimination and anti-harassment training for employees (whether or not required by law)? ☒ Yes ☐ No

VI. FIDUCIARY LIABILITY INFORMATION

1. Complete the chart regarding the Applicant's benefit plans. *Attach additional pages if needed.*

Plan Names (Other than health & welfare plans)	Plan Assets (Current year)	Type of Plan*	Funding % (DB Only) **	Number of Plan Participants	Plan Status***
Bloxy Management	\$ \$245,000.00	Defined Contribution	%	11	Active
	\$		%		
	\$		%		

* *Defined Contribution (DC), Defined Benefit (DB), Employee Stock Ownership (ESOP), Excess Benefit or Top Hat (EBP)*

** *Funding % is the funding percentage of current value of plan assets to the funding target (or accumulated benefit obligation)*

*** *Active (A), Frozen (F), Sold (S), Terminated (T) -Include date of termination*

2. Are all plans in compliance with plan agreements and ERISA? *If No, attach an explanation.* ☒ Yes ☐ No
3. In the past 12 months or the next 12 months has/will any plan:
- a. Be amended in a way that will result in the reduction of benefits? ☐ Yes ☒ No
- b. Contemplate or conclude any restructuring, spin-off, transfer, consolidation, merger, termination or other similar transaction? ☐ Yes ☒ No
4. During the past 12 months, has there been or is there currently any investigation or audit by the IRS, DOL, PBGC or any other state or federal agency of an employee benefit plan or any current or former fiduciary of such employee benefit plan? ☐ Yes ☒ No
- If Yes, to question 3. or 4. attach an explanation.*

VII. CRIME COVERAGE

1. Does the Applicant prohibit employees who reconcile the monthly bank statements from also:
Signing Checks ☐ Yes ☐ No, Handling deposits ☐ Yes ☐ No, Making Withdrawals ☐ Yes ☐ No
2. Does the Applicant follow a written policy or procedure to:
- a. Utilize a Master List to assist in detecting payments to unauthorized or fictitious vendors/suppliers? ☐ Yes ☐ No
- b. Verify and reconcile all invoices to corresponding purchase orders and a Master List prior to issuing payment? ☐ Yes ☐ No
- c. Authenticate all requests to change vendor/supplier bank account information received via email, phone and text with a call back to the pre-determined vendor/supplier contact and phone number prior to wire transferring any funds? ☐ Yes ☐ No
- d. Reconcile all funds transfers on the same day and by a person who did not initiate the request? ☐ Yes ☐ No
3. Does the Applicant have written policies and procedures requiring employees that process wire transfers to never process an internal request, (inclusive of requests by owners) without first validating the request with a call back to the requestor at a pre-determined work phone number or by face to face confirmation? ☐ Yes ☐ No
4. Are employees of the Applicant, particularly those that are responsible for wire transfers or that have access to company assets, provided with anti-fraud training to include how to detect phishing, spear phishing and other fraudulent social engineering schemes? ☐ Yes ☐ No
5. Are physical inventory counts conducted at least annually and reconciled with perpetual inventory systems? ☐ Yes ☐ No

VIII. KIDNAP & RANSOM COVERAGE

1. Complete the chart regarding the Applicant's foreign travel. *Attach additional pages if needed.*

City and Country Visited	Number of annual trips	Average length of stay	Number of employees traveling	Number of independent contractors traveling

2. Describe the Applicant's security precautions while traveling, both domestic and international, including use of security consultants: _____

IX. MATERIAL CHANGE

If any of the Applicants discover or become aware of any significant change in the condition of the Applicant between the date of this **Application** and the policy inception date, which would render the **Application** inaccurate or incomplete including but not limited to a new **Claim** or other matter to be reported, notice of such change will be reported in writing to us immediately and any outstanding quotation may be modified or withdrawn.

X. DECLARATIONS, NOTICE AND SIGNATURES

The submission of this Renewal Application does not obligate the **Insurer** to issue, or the Applicant to purchase, a policy. The Applicant will be advised if the **Application** for coverage is accepted. The Applicant hereby authorizes the **Insurer** to make any inquiry in connection with this **Application**.

The undersigned, acting on behalf of all Applicants, declare that to the best of their knowledge and belief, after reasonable inquiry, the statements set forth in this **Application** and in any attachments or other documents submitted with the **Application** are true and complete and were made to obtain requested information from each and every Applicant proposed for this insurance to facilitate the proper and accurate completion of this **Application**.

The undersigned agree that the information provided in this **Application** and any material submitted herewith are the representations of all the Applicants and the basis for issuance of the insurance policy should a policy providing the requested coverage be issued, and that the **Insurer** will have relied on all such materials in issuing any such policy. The undersigned further agree that the **Application** and any material submitted herewith shall be considered attached to and a part of the policy. Any material submitted with the **Application** shall be maintained on file (either electronically or paper) with us.

The information requested in this Renewal Application is for underwriting purposes only and does not constitute notice to the **Insurer** under any policy, of a **Claim** or potential **Claim**.

NOTICE TO ALABAMA APPLICANTS: Any person who knowingly presents a false or fraudulent claim for payment of a loss or benefit or who knowingly presents false information in an application for insurance is guilty of a crime and may be subject to restitution fines or confinement in prison, or any combination thereof.

NOTICE TO ARIZONA AND MISSOURI APPLICANTS: Claim Expenses are Inside the Policy Limits. All claim expenses shall first be subtracted from the limit of liability, with the remainder, if any, being the amount available to pay for damages.

NOTICE TO ARKANSAS, LOUISIANA AND WEST VIRGINIA APPLICANTS: Any person who knowingly presents a false or fraudulent claim for payment of a loss or benefit or knowingly presents false information in an application for insurance is guilty of a crime and may be subject to fines and confinement in prison.

NOTICE TO CALIFORNIA APPLICANTS: For your protection, California law requires the following to appear on this form: Any person who knowingly presents a false or fraudulent claim for the payment of a loss is guilty of a crime and may be subject to fines and confinement in state prison.

NOTICE TO COLORADO APPLICANTS: It is unlawful to knowingly provide false, incomplete, or misleading facts or information to an insurance company for the purpose of defrauding or attempting to defraud the company. Penalties may include imprisonment, fines, denial of insurance, and civil damages. Any insurance company or agent of an insurance company who knowingly provides false, incomplete, or misleading facts or information to a policyholder or claimant for the purpose of defrauding or attempting to defraud the policyholder or claimant with regard to a settlement or award payable from insurance proceeds shall be reported to the Colorado Division of Insurance within the Department of Regulatory Agencies.

NOTICE TO DISTRICT OF COLUMBIA APPLICANTS: Warning: It is a crime to provide false or misleading information to an insurer for the purpose of defrauding the insurer or any other person. Penalties include imprisonment and/or fines. In addition, an insurer may deny insurance benefits if false information materially related to a claim was provided by the applicant.

NOTICE TO FLORIDA APPLICANTS: Any person who knowingly and with intent to injure, defraud or deceive any insurer files a statement of claim or an application containing any false, incomplete, or misleading information is guilty of a felony of the third degree.

NOTICE TO HAWAII APPLICANTS: For your protection, Hawaii law requires you to be informed that presenting a fraudulent claim for payment of a loss or benefit is a crime punishable by fines or imprisonment, or both.

NOTICE TO IDAHO AND OKLAHOMA APPLICANTS: Any person who knowingly, and with intent to injure, defraud or deceive any insurer, makes any claim for the proceeds of an insurance policy containing any false, incomplete or misleading information is guilty of a felony.

NOTICE TO KANSAS APPLICANTS: Any person who commits a fraudulent insurance act is guilty of a crime and may be subject to restitution, fines and confinement in prison. A fraudulent insurance act means an act committed by any person who, knowingly and with intent to defraud, presents, causes to be presented or prepares with knowledge or belief that it will be presented to or by an insurer, purported insurer, broker or any agent thereof, any written, electronic, electronic impulse, facsimile, magnetic, oral, or telephonic communication or statement as part of, or in support of, an application for the issuance of, or the rating of an insurance policy for personal or commercial insurance, or a claim for payment or other benefit pursuant to an insurance policy for commercial or personal insurance which such person knows to contain materially false information concerning any fact material thereto; or conceals, for the purpose of misleading, information concerning any fact material thereto.

NOTICE TO KENTUCKY APPLICANTS: Any person who knowingly and with intent to defraud any insurance company or other person files an application for insurance or statement of claim containing any materially false information, or conceals for the purpose of misleading information concerning any fact material thereto, commits a fraudulent insurance act, which is a crime.

NOTICE TO MAINE, TENNESSEE, VIRGINIA, AND WASHINGTON APPLICANTS: It is a crime to knowingly provide false, incomplete or misleading information to an insurance company for the purpose of defrauding the company. Penalties include imprisonment, fines and denial of insurance benefits.

NOTICE TO MARYLAND APPLICANTS: Any person who knowingly or willfully presents a false or fraudulent claim for payment of a loss or benefit or knowingly or willfully presents false information in an application for insurance is guilty of a crime and may be subject to fines and confinement in prison.

NOTICE TO MICHIGAN APPLICANTS: Any person who knowingly and with intent to defraud an insurance company or another person files an application for insurance containing any materially false information, or conceals for the purpose of misleading information concerning any fact material thereto, commits a fraudulent act, which is a crime and subjects the person to criminal and civil penalties.

NOTICE TO NEW JERSEY APPLICANTS: Any person who knowingly includes any false or misleading information on an application for an insurance policy or files a statement of claim containing any false or misleading information is subject to criminal and civil penalties.

NOTICE TO NEW HAMPSHIRE APPLICANTS: It is unlawful to knowingly provide false, incomplete, or misleading facts or information to an insurance company for the purpose of defrauding or attempting to defraud the company. Penalties may include imprisonment, fines, denial of insurance and civil damages.

NOTICE TO NEW MEXICO AND RHODE ISLAND APPLICANTS: Any person who knowingly presents a false or fraudulent claim for payment of a loss or benefit or knowingly presents false information in an application for insurance is guilty of a crime and may be subject to civil fines and criminal penalties.

NOTICE TO OHIO APPLICANTS: Any person who, with intent to defraud or knowing that he is facilitating a fraud against an insurer, submits an application or files a claim containing a false or deceptive statement is guilty of insurance fraud.

NOTICE TO OREGON APPLICANTS: Any person who knowingly and with intent to defraud or solicit another to defraud any insurance company: (1) by submitting an application, or (2) by filing a claim containing a false statement as to any material fact, may be violating state law.

NOTICE TO PENNSYLVANIA APPLICANTS: Any person who knowingly and with intent to defraud any insurance company or other person files an application for insurance or statement of claim containing any materially false information or conceals for the purpose of misleading, information concerning any fact material thereto commits a fraudulent insurance act, which is a crime and subjects such person to criminal and civil penalties.

NOTICE TO VERMONT APPLICANTS: Any person who knowingly presents a false statement in an application for insurance may be guilty of a criminal offense and subject to penalties under state law.

Note: This **Application** must be signed by the chief executive officer or chief financial officer or equivalent position of the Applicant acting as the authorized representatives of the person(s) and entity(ies) proposed for this insurance.

Christina Ayala

Signature

Human Resources

Title

07/30/2025

Date

Supporting Documentation: Attach a copy of the following for every Applicant seeking coverage:

- ☐ Most recent CPA prepared financial statements (for Applicants with more than \$250 million in annual revenue)
- ☐ Most recent CPA Letter to Management and Management's response. If this Letter is not issued, check here: ☒
- ☐ Directors & Officers and Entity Liability: Any applicable securities offering memorandum
- ☐ Employment Practices Liability: Most recent EEO-1 report (for Applicants with more than 500 employees)
- ☐ For any employee stock ownership plan (ESOP): (1) ESOP valuation report and (2) any regulatory audit letter

Produced By: Agent: _____ Agency: Reseco Insurance Advisors

Agent License No.: _____ Agent Signature: _____

APPENDIX

Is the Applicant requesting a coverage that the Applicant does not currently purchase or is requesting limits of liability that are higher than the Applicant currently purchases? No

Does the Applicant make more than \$250 million in annual revenue? No

Certificate of Completion

Summary

Title	Hanover Private Company Advantage Renewal
File name	Hanover Private Company Advantage Renewal.pdf
Status	Completed
Document guid:	icm9SFvD25TBjcUDYEIYd90-bMLXJstc
Number of pages	9
Number of e-signatures	1

Document History

2025-07-30 04:09:03 PM UTC	Signed by Abril Cuevas (acuevas@lyonsroofing.com) IP 68.98.211.167
2025-07-30 04:09:03 PM UTC	Electronic record and signature disclosure agreed by Abril Cuevas (acuevas@lyonsroofing.com) IP 68.98.211.167
